

PG&E v DKM, LLC

24CV47310

PLAINTIFF'S MOTION FOR PRE-JUDGMENT POSSESSION OF PROPERTY

This is an action in eminent domain where Pacific Gas and Electric ("PG&E") seeks to take certain property ("Property") located at 4150 Carson Street, in an unincorporated area of Calaveras County, near Vallecito, California, also known as Calaveras County Assessor's Parcel No. 066-025-04. DKM, LLC ("DKM") is the fee simple interest holder of the Property. Calaveras County Water District ("District") and Northern California Power Agency ("NCPA") both hold easements on the Property.

PG&E seeks this property for the purpose of replacing and upgrading a tower and transmission conductor as part of a larger scope of work that involves replacing approximately 410 existing electrical transmission structures with new steel structures (referred to as the Project). The Complaint states that the "new tower and conductor replacement necessitates a wider span of easement to accommodate sway in the electrical lines to ensure that PG&E's operations fall within its existing easements." (Complaint ¶ 6.)

PG&E seeks the following interests (the Easement Interests) in portions of the Property:

- a. Plaintiff seeks to modify its existing electric transmission easement rights in the Owner's real property described in EXHIBIT C, which modified easement rights are described as STRIP on EXHIBIT and depicted on EXHIBIT "A-I" and EXHIBIT "B", attached hereto and incorporated herein as though set forth in full by this reference.
- b. PG&E seeks to modify PG&E'S existing electric distribution pole line easement rights in the Owner's real property described in EXHIBIT C, which modified distribution easement rights are described in EXHIBIT "A" and shown on EXHIBIT "A-2, attached hereto and incorporated herein as though set forth in full by this reference, as STRIP ONE, STRIP TWO, STRIP THREE, STRIP FOUR, STRIP FIVE, AND STRIP SIX.
- c. The right to excavate for, construct, reconstruct, replace, remove, maintain, inspect, use facilities and associated equipment for public utility purposes, including but not limited to electric and communication facilities over and across the lands described in EXHIBIT "C" and shown on

EXHIBIT "C-I" as PG&E shall from time to time deem to be reasonably required for the transmission and distribution of electric energy, and for communication purposes within the STRIPS of lands described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-Z".

- d. The right of ingress to and egress from the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2" over and across the lands described in EXHIBIT "C" and shown on EXHIBIT "C-I" by means of roads and lanes thereon, if such there be, otherwise by such route or routes as shall occasion the least practicable damage and inconvenience, provided, that such right of ingress and egress shall not extend to any portion of the lands which is isolated from said STRIPS of lands by any public road or highway, now crossing or hereafter crossing said lands.
- e. The right from time to time to enlarge, improve, reconstruct, relocate and replace any facilities constructed with any other number or type of facilities either in the original location or at any alternate location or locations within the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2".
- f. The right, from time to time, to trim or to cut down, without PG&E paying compensation, any and all trees and brush now or hereafter within the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2", and shall have the further right, from time to time, to trim and cut down trees and brush along each side of said STRIPS of lands which now or hereafter in the opinion of PG&E may interfere with or be hazard to PG&E facilities, or as PG&E deems necessary to comply with applicable state or federal regulations.
- g. The right to use such portion of said said lands contiguous to the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2" as may be reasonably necessary in connection with the excavation, construction, reconstruction, replacement, removal, maintenance and inspection of PG&E facilities.
- h. The right to install, maintain and use gates in all fences which now cross or shall hereafter cross the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2". I. The right to mark the location of the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-I" EXHIBIT "A-2" by suitable markers set in the ground.

Plaintiff also seeks the enjoin the owner from:

- a. Placing or constructing any building or other structures, storing flammable substances, drill or operate any well, constructing any reservoir or other

obstruction, diminishing or substantially adding to the ground level within the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-1" EXHIBIT "A-2", or construct any fences that will interfere with the maintenance and operation of PG&E facilities.

- b. Depositing or allowing to be deposited, earth, rubbish, debris or any other substance or material whether combustible or noncombustible within the STRIPS of lands as described in EXHIBIT "A" and shown on EXHIBIT "A-1" EXHIBIT "A-2", which not or hereafter in the opinion of PG&E may interfere with or be hazard to the PG&E facilities installed.

Now before the Court is PG&E's motion for prejudgment possession of the Property. NCPA has filed a timely opposition to the motion. On July 9, 2024, DKM filed a notice of joinder in NCPA's opposition. The notice of joinder was filed more than thirty days after PG&E's notice of its intent to seek prejudgment possession. Pursuant to Code of Civil Procedure ("CCP") § 1255.410(d), all defendants needed to oppose the motion within 30 days of April 4, 2024. As DKM's notice of joinder was untimely, NCPA's opposition is the only one that will be considered by the Court.

I. Legal Standard and Analysis

Under Code of Civil Procedure section 1255.410, a moving party may seek immediate possession of the property to be taken or condemned. Where the motion for immediate possession is opposed, as in this case, the Court may order prejudgment possession after a hearing on the motion if the Court finds each of the following: 1) The plaintiff is entitled to take the property by eminent domain; 2) The plaintiff has deposited an amount that satisfies the legal requirements; 3) There is an overriding need for the plaintiff to possess the property prior to the issuance of final judgment in the case, and the plaintiff will suffer a substantial hardship if the application for possession is denied or limited and 4) The hardship that the plaintiff will suffer if possession is denied or limited outweighs any hardship on the defendant or occupant that would be caused by the granting of the order of possession. (Code Civ. Proc. §1255.410(d)(2).)

Plaintiff claims all four necessary elements for prejudgment possession are satisfied.

A. Entitled to Take Property By Eminent Domain

Generally, to establish entitlement to take property for a project, a plaintiff must establish, all of the following: (a) the public interest and necessity require the project, (b) the project is planned or located in the manner that will be most compatible with the greatest public good and the least private injury; and (c) the property sought to be acquired is necessary for the project." (Code of Civil Procedure section 1240.030.)

In support of its claim that it is entitled to take the property by eminent domain, PG&E provides the declaration of Sanjeev S. Bhatawadekar, who is a Senior Consulting Project Manager for PG&E. (Declaration of Sanjeev S. Bhatawadekar ("SB Decl." ¶ 4.)

Mr. Bhatawadekar oversees the implementation of complex transmission system projects. (*Ibid.*) According to Mr. Bhatawadekar, the Project is part of PG&E's goal of improving and enhancing the safety of its operations and the reliability of utility service because they are upgrading and replacing hundreds of transmission structures. (*Id.* ¶ 8.) The Project is necessary in order for PG&E to continue providing safe and reliable electric service the public. (*Id.* ¶10.) Mr. Bhatawadekar further states that there is little risk of private injury because there are no residences within the easement area and any risk to grazing livestock will be mitigated. (*Id.* ¶ 13.) Finally, Mr. Bhatawadekar states that the location has been chosen because PG&E already has existing structures in that area. (*Id.* ¶ 9.) The Project only needs "a wider span of easement to accommodate overhead sway in the electrical lines to ensure PG&E's operations fall within its existing easements."(*Ibid.*).

In opposition, Defendants argue that PG&E has failed to meet this first required element because Plaintiff has not made a showing that it is entitled to take the property by eminent domain as a compatible use with the Defendants' existing public use. (Code Civ. Proc. §1240.520). Pursuant to section 1240.510:

Any person authorized to acquire property for a particular use by eminent domain may exercise the power of eminent domain to acquire for that use property appropriated to public use if the proposed use will not unreasonably interfere with or impair the continuance of the public use as it then exists or may reasonably be expected to exist in the future.

Pursuant to section 1240.520, if it is established that the property is appropriated to public use, the Plaintiff has the burden of proof that its proposed use satisfies the requirements of Section 1240.510. Defendants argue PG&E acknowledges that the Property is already appropriated to public use and that Plaintiff has failed to bear its burden of showing that it the proposed use will not "unreasonably interfere with or impair the continuance" of the Defendants' current public use. Defendants argue that Mr. Bhatawadekar's conclusory statement that "PG&E has no evidence or reason to believe that early possession will unreasonably displace or affect anyone in lawful possession of the Property" (SB Decl. ¶ 13) is insufficient.

In support of its opposition, NCPA submits the declaration of Jake Eymann who is employed by NCPA as the Hydroelectric Manager. (Declaration of Jake Eymann ("Eymann Decl.") ¶ 1.) NCPA acquired the generation tie line at issue in this case in 1988. (*Id.* ¶ 3.) Mr. Eymann declares:

NCPA operates the Collierville & Spicer Meadow Transmission Line Project (Federal Energy Regulatory Commission [FERC] No. 11197, "Collierville TL Project"). NCPA's rights are "project property" under NCPA's FERC license for the Collierville TL Project, which comprises the primary transmission lines that connect CCWD's North Fork Stanislaus River Hydroelectric Project (FERC No. 2409) to the California Independent System Operator (CAISO) controlled grid. NCPA must protect its rights,

use, and ability to operate and maintain the Collierville TL Project to ensure compliance with its FERC license and to ensure its line remains safe and operational.

Mr. Eymann further submits photos that show that PG&E's and NCPA's lines are near each other on the Property. (Eymann Decl. ¶ 4, Ex. A.). Finally, Mr. Eymann avers that based on the information provided by PG&E, "I am unable to conclude that PG&E's Project and proposed easement will not interfere with or impact NCPA's operation and maintenance of the Collierville TL Project." (*Id.* ¶ 5.) NCPA argues that until PG&E can establish compatibility with NCPA's uses, the motion for prejudgment possession must be denied. However, Mr. Eymann does not state any specific concerns about how PG&E's proposed Project would impact NCPA's existing public use nor how it could impact its FERC compliance.

In Reply, PG&E details the extensive communication between itself and NCPA regarding the Project. In April of 2021, PG&E and NCPA entered into confidential, nondisclosure agreements (NDA) to provide free and full disclosure of information by PG&E to NCPA and NCPA's technical representatives about the Project. (Declaration of Randy Kihara ("Kihara Decl.") ¶ 5.) Over the ensuing months and years, PG&E provided NCPA with specific information and drawings of the Project for NCPA's review. (*Id.* ¶ 6.) In April of 2024, PG&E and NCPA entered into another NDA to allow NCPA to "review all technical engineering and electrical transmission aspects of the project." (*Id.* ¶ ¶ 7, 9.) When NCPA raised concerns about whether there were sufficient clearances between the varying structures, PG&E provided information which it believed had been accepted as sufficient to show there would be no interference with NCPA's lines. (*Id.* ¶ ¶ 10-11.) Specifically, PG&E's lines after the Project "will not extend beyond the boundary of PG&E's existing easement at rest conditions (no wind). Even with maximum calculated sway conditions, PG&E's lines will not come into physical contact with NCPA's lines." (*Id.* ¶ 14.)

NCPA also argues NCPA is federally mandated to protect the property rights of a FERC-licensed project. (Opposition p. 4.) NCPA states that NCPA is thus required to seek prior FERC approval of any transfer of "project property" via condemnation. NCPA further argues that FERC would not likely transfer its property rights to PG&E and even if the Court ordered such transfer, FERC would condemn the rights back from PG&E pursuant to its federal eminent domain powers. Accordingly, NCPA argues that this would be an ultimate waste of judicial resources.

In Reply, PG&E points out that over the months and years of discussing this Project, NCPA has never raised any concerns about its FERC-license. Further, it is unclear how the Project would impact FERC's property interests. PG&E already has a concurrent easement on the Property. (Declaration of Trevor R. LaTurner ("LaTurner Decl.") ¶ 5, Ex. 1.) This easement preceded NCPA's easement. (*Id.* ¶ 7, Ex. 3.) PG&E's easement specifically states that it has authority to enter the property to maintain, operate, repair or reconstruct the transmission lines. (*Id.*, Ex. 1.)

PG&E has sufficiently met its burden to show that its proposed use will not unreasonably interfere with or impair the continuance NCPA's use as it then exists or may reasonably be expected to exist in the future. Accordingly, PG&E has demonstrated that it is entitled to take the property by eminent domain.

B. Plaintiff's Deposit

Under Section 1255.010(a), PG&E is required to deposit "the probable amount of compensation, based on an appraisal, that will be awarded in the proceeding." Here, PG&E states that it has deposited with the State Condemnation Deposit Fund "probable just compensation for the easement rights being acquired." (SB Decl. ¶ 10.) According to the declaration of appraiser Michelle Patton, the just compensation for the Property is \$12,300.00. (Declaration of Michelle Patton ¶ 6, Ex. A.)

NCPA does not object to the amount of the deposit.

C. Whether Plaintiff has demonstrated overriding need and substantial hardship.

PG&E argues it has an overriding need to take the Property immediately and begin its Project because it is a "priority project" for PG&E. (BS Decl. ¶ 11.) PG&E argues that construction at this location and other Project locations "must be planned, coordinated and implemented (as to materials, workers, equipment, securing necessary permit(s), etc.) in an orderly fashion." (*Id.* ¶ 11.) PG&E further argues that any delay in obtaining possession of the Property "may result in major delays with completion of this part of the Project and other segments of the Project." (*Id.* ¶ 12.)

NCPA does not address PG&E's arguments about overriding need and substantial hardship. The Court finds the PG&E has demonstrated an overriding need to begin the Project.

D. Balancing of the hardships between Plaintiff and Defendants.

PG&E argues that NCPA will not suffer any hardships if the motion is granted because prejudgment possession will not "displace or unreasonably affect any person in actual and lawful possession of the subject property interests being acquired." (MPA p. 6.) In contrast, PG&E states that without prejudgment possession it cannot plan and finalize contracts, materials, and personnel and the delayed project could cause "great expense and potential harm to PG&E and the public at large." (*Ibid.*)

The Court finds that PG&E has demonstrated that its hardships will outweigh any hardships to others.

The Motion for Prejudgment Possession is **GRANTED**. The parties are ordered to come to the hearing prepared to discuss whether they can reach an agreement on

the terms and conditions pursuant to CCP section 1240.530 or whether the Court will need to fix the terms and conditions.